

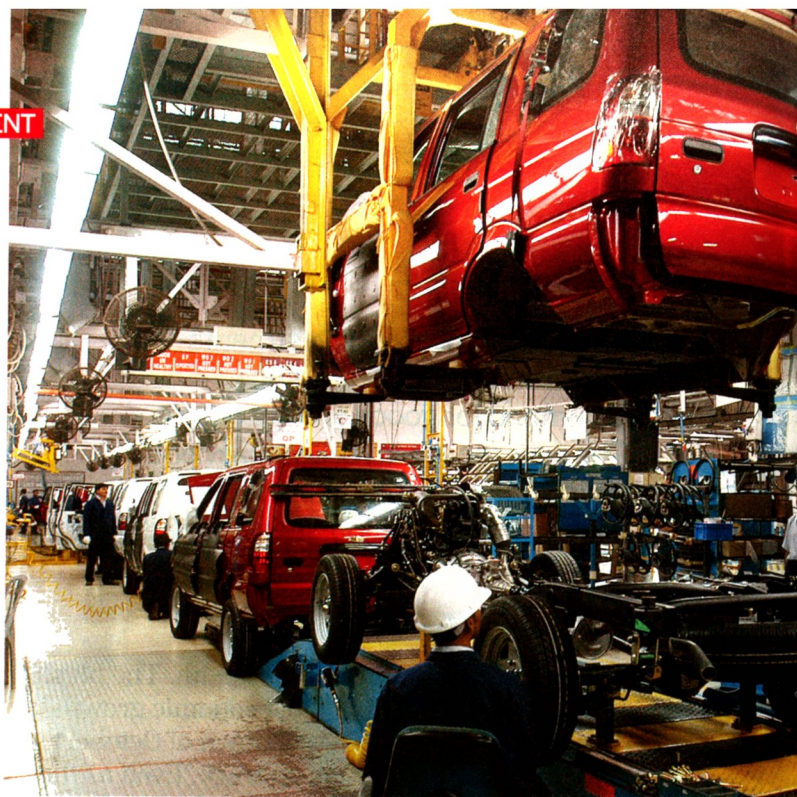
Cover story **EMPLOYMENT**

Demand for consumer durables, automobiles and telecom services has kept the wheels of Indian manufacturing turning, despite the global slowdown. With an annual production of 2.3 million units, the Indian automobile industry is the ninth largest in the world. Players like Maruti Suzuki and Samsung are expanding their manufacturing capacities and manpower base this year.

The good news does not end there. With a high saving rate of 33 per cent, low urbanisation levels and a young population, India will consume a lot more than all other economies and this will sustain growth in the labour force, capital stock and productivity over the next decade, says Credit Suisse, and the per capita income will triple from \$1,050 to \$3,400 by 2019. Even as a consumption economy, India has a lot of catching up to do. While the US consumes \$10 trillion worth of goods and services, China consumes \$1.4 trillion. India's consumption is a mere \$700 billion, leaving enough headroom for growth, says Anand Sudarshan, chief executive officer and managing director, Manipal Education.

Global think tanks expect India to be among the best performing economies in the new decade. The country is expected to be a \$4-trillion economy by 2019. The view doesn't look exaggerated given that the Indian economy will clock 7.5 per cent GDP growth this fiscal. Real GDP growth is expected to average 8 per cent per year from 2010 to 2014 and 7.5 per cent per year from 2015 to 2019. Explains Sachidanand Shukla, chief economist at Enam Securities: "The optimism is back in corporate India and employment growth is coming back too."

New jobs in a post-Lehman world, however, are coming from new sunrise sectors, and not IT. Given that economic growth is being driven by domestic consumption, industries linked to



indigenous demand will rebound faster than those sectors and companies indexed to the US economy like the IT services industry. With the Indian Government planning to pump in \$100 billion into infrastructure development, this sector will see a surge in demand for people in times to come.

The job boom of the last decade was driven mainly by the IT industry, but its share in the total number of new jobs created each year is gradually coming down. Says Hitesh Oberoi, chief operating officer, Naukri.com: "Bangalore and Chennai are not hot anymore for jobs as both being IT hubs have not yet fully recovered given that the industry's growth is pegged to the US economy. Non-IT companies are hiring more easily than the information technology businesses."

The usual suspects like telecom, manufacturing, health, IT and ITES and hospitality will create new jobs, but there are some dark horses too. For

those keen on government jobs, there's good news as public sector banks are hunting for talent on job portals. Adds Shukla: "PSU banks alone are expected to hire 40,000 people this year."

Thanks to the massive investments by players in health, hospitality and construction industry, these sectors are also expected to drive employment numbers in the new fiscal. Stay tuned to know what's hot and what's not.

MANUFACTURING

Total Employee Base: 55,30,000

New Jobs: 68,000

The resilience of the Indian economy has been effectively demonstrated by the automobile industry. Despite the slowdown, Indians continued to buy cars, motorcycles, mobile phones and consumer goods. From about 4 to 6 per cent growth clocked per annum in the early years of this decade, the sector's rate of growth has shot up between 9 and 12 per cent in recent years. The consumer electronics sector too has bucked the downturn last year and grown by 10 per cent. In fact, refrigerators and washing machines have grown by 17 per cent in terms of volume, higher than the growth registered



12 per cent is the highest estimate of growth in the manufacturing sector in recent years. This has risen from 4 to 6 per cent per annum in the early years of this decade.